

APPROVED

By Alessandra at 6:15 am, Aug 04, 2021

CITY OF CHEYENNE
CONTRACT MODIFICATION

Contract Modification: #1

Project: Happy Jack Landfill Front Entrance and Scale House

Project Number: Contract # 7309

Contractor: Synergy Construction LLC.

Date Prepared: July 29, 2021

The above referenced contract is amended or modified as set forth in the following and these amendments and modifications of the plans and specifications are agreed to by the parties. All other aspects of the original agreement remain unchanged and in full force and effect.

I. Description of Changes

Build on site scale house building vs Perfricated building

II. New Contract Items

Scale House onsite build.

III. Schedule

No change to contract length.

IV. Summary

Original Contract Amount	\$2,537,363.00
Previous Modifications	\$0.00
Contract Amount Prior to this Modification	\$2,537,363.00
This Modification	\$62,730.80
New Contract Amount	\$2,600,093.80

V. Approvals

DATE: _____

City of Cheyenne

Mayor Patrick Collins

/_____
/ATTEST: City Clerk Kristina F. Jones

Recommend approval by City Project Manager / Accepted by Consultant

APPROVED

By Alessandra at 10:06 am, Feb 22, 2021

**CITY OF CHEYENNE, WYOMING
AGREEMENT**

Bid No. S-7-21

Contract No. 7309

THIS AGREEMENT, entered into this 22nd day of March, 2021, by and between the CITY OF CHEYENNE, WYOMING, hereinafter referred to as the "CITY", and SYNERGY CONSTRUCTION LLC, hereinafter referred to as the "CONTRACTOR".

WITNESSETH that the Contractor and the City, for the considerations stated herein, mutually agree as follows:

ARTICLE 1. STATEMENT OF WORK. The Contractor shall furnish all supervision, technical personnel, labor, materials, machinery, tools, equipment, and services, including utility and transportation services, and perform and complete all work in an efficient and workmanlike manner in the construction of the "Happy Jack Landfill Front Entrance and Scale House" project all in strict accordance with the Contract Documents including all addenda thereto, numbered and dated: Addendum One (1), dated September 21, 2020, Addendum Two (2), dated September 24, 2020, Addendum Three (3), dated December 18, 2020, Addendum Four (4), dated January 29, 2021, and Addendum Five (5), dated February 8, 2021.

ARTICLE 2. RESPONSIBLE DESIGNEE FOR THE CITY. The Contractor shall in any and all matters relating to the scope of services to be provided under this Contract or any other provisions herein, contact the City Engineer, or his/her designated representative.

ARTICLE 3. TIME FRAME FOR COMPLETION. The services to be performed under this Agreement shall commence on the date stipulated in the "Notice to Proceed" that will be issued by the City. The work shall be completed by: March 22, 2022. If the work has not been completed within the time stipulated above, including any extensions of time issued by the City for excusable delays, the Contractor and his/her sureties shall pay the City fixed, agreed liquidated damages, as stipulated in the Supplemental Conditions, for each calendar day of delay until the work is completed.

ARTICLE 4. COMPENSATION AND METHOD OF PAYMENT. The CITY will pay the CONTRACTOR for the performance of the Contract in current funds, the sum of Two Million, Five Hundred Thirty-Seven Thousand, Three Hundred Sixty-Three Dollars (\$2,537,363.00). In the event there are changes in the estimated quantities shown on the Bid Proposal, the unit prices multiplied by the actual quantities shall govern, and the total contract amount will be adjusted accordingly. The City agrees to pay the above amount for contractual services in the following manner, upon receipt of appropriate documentation:

- a. The Contractor will be paid on a monthly basis for percentage of estimated work completed. Submittal will be at least seven (7) business days prior to the payable due date as established annually by the City Treasurer's Office. The pay request shall be submitted on the Contract

Payment Request Form and Itemized Pay Request or the AIA Documents G702 and G703. The engineer will review the estimate for approval prior to payment.

- b. The City will withhold five percent (5%) of the dollar value of the work completed for a minimum of forty-one (41) calendar days after Notice of Final Settlement has been published in accordance with Wyo. Stat. §15-1-113(h). Upon completion of the work under this Contract, the Contractor shall submit a Contractor's Certificate of Completion; the Consent of Surety; Final Waivers of Lien from the Contractor, and all Sub-Contractors, Suppliers and Materialmen; Affidavit of Release of Liens; Affidavit of Payment; and a current Workers Compensation Certificate. Final payment will not be made until the above documents have been received by the City and all items on the Punch List have been completed, and the advertising requirements have been met.

ARTICLE 5. CONTRACT. The executed Contract Documents shall consist of the following:

1. This Agreement;
2. Addenda;
3. Invitation for Bids;
4. Instructions to Bidders;
5. Signed Bid Proposal;
6. General Conditions and Insurance;
7. Supplemental Conditions;
8. Part IV Forms & Notices;
9. Specifications and Special Provisions; and
10. Drawings.

This Agreement, together with other documents enumerated in this Article 5, which said other documents are as fully a part of the Contract as if hereto attached or herein repeated, forms the Contract between the parties hereto.

IN WITNESS WHEREOF, THAT the governing body of the City of Cheyenne has authorized the Mayor as Executive Officer of the City to enter into this Agreement, and that the parties hereto have caused this Agreement to be executed on the day and year in the first part herein written.

ATTEST:


Kristina F. Jones, City Clerk

CITY OF CHEYENNE, WYOMING


Patrick Collins, Mayor


Notary of Corporation Secretary:

SUBSCRIBED AND SWORN TO BEFORE ME

this 31 day of March, 2021

by Greg Rael

My Commission expires: 10-30-2024

Synergy Construction LLC

Contractor

By


Title

P.O. Box 186
Lovell, WY 82431



Memorandum



Date: August 2, 2021

To: Craig LaVoy, PE
Deputy Public Works Director

From: Matt Evans, PE

Subject: Scale House and Administration Building Construction - Happy Jack Landfill
Construction Cost Increase

In recent months, the unforeseen volatility of the market due to the COVID-19 pandemic and other related factors has led to increased costs and increased delays related to the above referenced project. As a result, the construction contractor for the Happy Jack Landfill scale house and administration building project is requesting a force majeure change order as it relates to several construction items. The following summarizes the impacted costs and delays.

Due to unforeseen material lead time delays related to the COVID-19 pandemic, Synergy Construction (Synergy) is constructing the new Happy Jack Landfill scale house building on site, rather than procuring a prefabricated building as required in the design documents. The prefabricated building manufacturer experienced steel and other material lead time delays that significantly delayed the estimated delivery date of the scale house building. The delivery date delay meant that it was unlikely that the building would be constructed in 2021 as required in Synergy's construction contract with the City. The cost to construct the building onsite is more than originally proposed but completes the project on schedule.

In addition, four other cost increases have been experienced by Synergy for steel, asbestos abatement, wall extension, and electrical upgrades for a building on site. The steel cost increase is a result of the structural steel supplier (Vulcraft) charging an increased price for the steel joists and decking on the administration building due to unforeseen changes in market prices. The asbestos abatement cost increase is a result of unexpectedly encountering asbestos in the drywall of the breakroom building to be demolished. The extension of the foundation walls was the result of a design change made during the on-site scale house building construction. The electrical upgrade is a result of providing power to HVAC and building on site electrical needs. The price increases are summarized below:

- PCO #1 - Scale house construction cost increase: \$26,385.98
- PCO #2 - Steel cost increase: \$6,932.52
- PCO #3 - Asbestos cost increase: \$8,779.51
- PCO #4 - Extending walls 1-foot: \$13,461.05
- PCO #5-Electrical: \$7180.74
- Total change order request =\$62,730.80

August 2, 2021

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There are three options that the City has regarding Synergy's request for these cost increases; canceling the contract and bringing in another contractor to carry out the project, postponing the project, or approving a change order to compensate Synergy for the cost increases as described below:

1. Option 1 – Cancel the Contract and Bring in Another Contractor

In the event the City cancels the current contract with Synergy, the City would need to choose another contractor. The next lowest bidder, Reiman Corp. (Reiman), submitted a bid \$52,000 higher than Synergy. It is likely that Reiman (or any other contractor) would also need to ask for these price increases.

2. Option 2 – Postpone the Scale house Construction

In the event the City postpones the project until next year, the construction schedule would need to be re-evaluated to account for delays. Postponing construction by one year does not guarantee that construction costs will decrease below current levels, and potentially could lead to higher construction costs.

3. Option 3 – Approve A Change Order to Allow for Building on site vs Prefabricated building

If the City approves a change order to allow for these cost increases, the pay item would be increased by a total of \$62,730.80.



SYNERGY CONSTRUCTION, LLC

May 12, 2021

Craig LaVoy
Deputy Public Works Director
City of Cheyenne
2101 O'Neil Ave., Rm 210
Cheyenne, WY 82001

RE: PCO #1 – Change Build of Scale House to match Admin Bldg.

Craig:

We propose to furnish all labor, materials and equipment for the completion of:

1. Build Scale House similar to Admin Bldg. in lieu of the pre-fabricated building.
2. HVAC system is based upon: 1 EACH LENNOX ROOF TOP UNIT WITH CENTRAL STEP DOWN DIFFUSER IN THE MIDDLE OF THE BUILDING 2 TON AC WITH 10KW HEATING, THERMOSTAT INCLUDED, ROOF CURB INCLUDED, 1 ADJUSTABLE OUT-DOOR AIR DAMPER, 1 EACH EXHAUST FAN DUCTED TO SIDE WALL HOOD, 1 SMALL ELECTRIC HEATER FOR BATHROOM HEAT CONTROL ON UNIT
3. Electrical Work as per specs and drawings on Sheet A201 EXCEPT increased service size to 100 Amps due to HVAC load.
4. The CF Steel Roof Joists will be 8" 14Ga steel roof trusses with rigid connections at bearing walls.
5. Scale House to be 13'-4" X 27'-4" with exterior wall consisting of 8" CMU block with 3 5/8" metal stud wall with painted gypsum board for interior finish.

For a base bid add of: **\$26,385.98 (Cost breakdown attached)**

Please feel free to contact me if you have any questions at (307) 286-1051.

Respectfully submitted,

Dennis Nelson
Project Manager
Synergy Construction, LLC



SYNERGY CONSTRUCTION, LLC

May 18, 2021

Craig LaVoy
Deputy Public Works Director
City of Cheyenne
2101 O'Neil Ave., Rm 210
Cheyenne, WY 82001

RE: PCO #2 – Steel Price Increase

Craig:

We propose to furnish all labor, materials and equipment for the completion of:

1. PCO #2 – Increase of steel pricing by supplier that is completely out of our control.

For a base added COST of: \$6923.52

Please feel free to contact me if you have any questions at (307) 286-1051.

Respectfully submitted,

Dennis Nelson
Project Manager
Synergy Construction, LLC



SYNERGY CONSTRUCTION, LLC

May 18, 2021

Craig LaVoy
Deputy Public Works Director
City of Cheyenne
2101 O'Neil Ave., Rm 210
Cheyenne, WY 82001

RE: PCO #3 – Asbestos Removal

Craig:

We propose to furnish all labor, materials and equipment for the completion of:

1. PCO #3 – Asbestos abatement of drywall in the breakroom building per investigative testing performed by Asbestos Technology Inc..

For a base added COST of: \$8,779.51

Please feel free to contact me if you have any questions at (307) 286-1051.

Respectfully submitted,

Dennis Nelson
Project Manager
Synergy Construction, LLC



SYNERGY CONSTRUCTION, LLC

May 25, 2021

Craig LaVoy
Deputy Public Works Director
City of Cheyenne
2101 O'Neil Ave., Rm 210
Cheyenne, WY 82001

RE: PCO #4 – Scales Footing Break

Craig:

We propose to furnish all labor, materials and equipment for the completion of:

1. PCO #4 – Raise rebar and extend forms up 1' to achieve height needed for piers, abutments and walls of the scale house due to the elevation provided in email on 4/13/2021 at 6:15 PM from Kevan Thurman.
2. Additional 1' of concrete in forms also.

For a base added COST of: \$13,461.05

Please feel free to contact me if you have any questions at (307) 286-1051.

Respectfully submitted,

Dennis Nelson
Project Manager
Synergy Construction, LLC



SYNERGY CONSTRUCTION, LLC

June 15, 2021

Craig LaVoy
Deputy Public Works Director
City of Cheyenne
2101 O'Neil Ave., Rm 210
Cheyenne, WY 82001

RE: PCO #5 – Electrical Service Upgrade

Craig:

We propose to furnish all labor, materials, and equipment for the completion of:

1. PCO #5 – Alternate design to increase service to 300 Amps, meter main already submitted is rated for 325 Amps so we will just have to increase pipe and wire size to 350MCM copper in conduit from utility to meter socket and from meter main to Panel LA1, change Panel LA1 to 300 Amp panel board with some breakers except for replacing 2-pole 30A with 2-pole 100A to feed scale house. 300 Amp panelboard is 6" thick, will protrude from 3 1/2" wall.

For a base added COST of \$7,180.74

Please feel free to contact me if you have any questions at (307) 286-1051.

Respectfully submitted,

Dennis Nelson
Project Manager
Synergy Construction, LLC